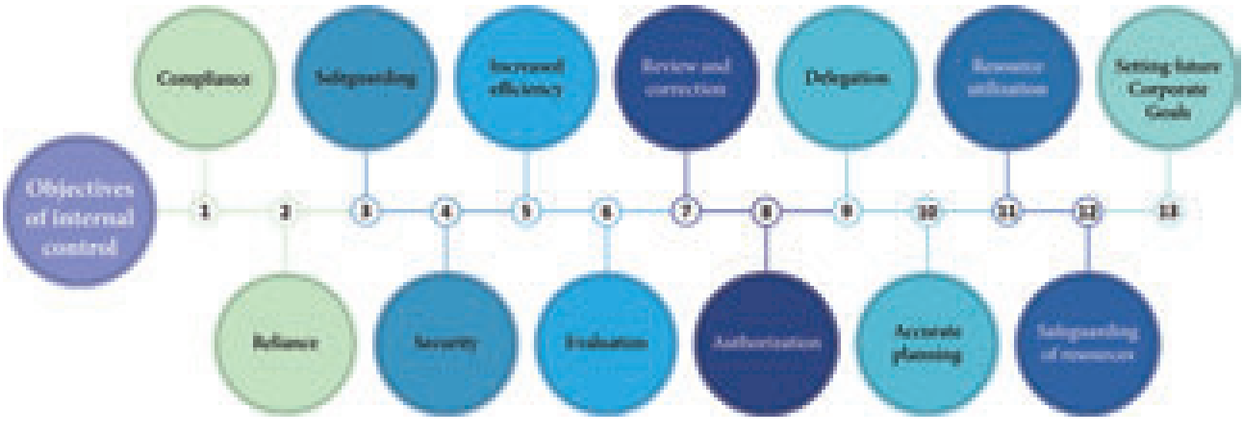


1. **Compliance:** To have compliance with law and accounting practices that is generally accepted and followed in the country. The accounting process also needs to be in compliance with these.
2. **Reliance:** To increase the reliance on the internal systems, accounting practices should be followed by the organization, so that the chances of frauds are reduced.
3. **Safeguarding:** To safeguard the organization's accounts, employees and assets by formation of fool-proof policies, rules and regulations.
4. **Security:** To provide security to customers, employees and property of the organization. Physical security systems like security guards, locks and anti-theft devices are used for providing protection.
5. **Increased Efficiency:** To assist in human resource and performance management, and to keep proper control over business activities to achieve maximum levels of efficiency.
6. **Evaluation:** To evaluate the accounting system for proper authorization of transactions.
7. **Review and Correction:** To review the working of the business, locate weak points in operations and to take corrective measures for proper working.
8. **Authorization:** To provide proper authority for purchase, sale, valuation, verification and possession of assets.
9. **Delegation:** To provide for division of duties among the employees where all staff members work cohesively.
10. **Accurate Planning:** To ensure that the auditor's and the accountants of the organization make all the financial reports correctly and to ensure that financial planning is done accurately.
11. **Resource Utilization:** To ensure that all the resources, i.e., men, material, money and machines of the organization are optimally used.
12. **Safeguarding of Resources:** To protect the resources of the organization against mismanagement or fraud and to ensure that the company's activities are in accordance with laws and regulations.

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